Many platforms issue the governance token via an inflation schedule that incentivizes people to use particular features of the platform, ensuring the governance token is distributed directly to them. Compound, for example, takes an inflationary implementation approach with its COMP token (see Chapter 6). A deflationary approach would likely consist of using the governance token also as a utility token to pay fees to the platform, which would be burned, or removed, from the supply rather than going to a specific entity. The MKR token of MakerDAO used to be burned in this manner in an older version of the platform.

NON-FUNGIBLE TOKENS

As the name suggests, the units of a non-fungible token (NFT) are not equal to those of other tokens.

NFT Standard

On Ethereum, the ERC-721[3] standard defines non-fungibility. It is like ERC-20, except that rather than all IDs being stored as a single balance, each unit has its own unique ID that can be linked to additional metadata, which differentiate it from other tokens stemming from the same contract. Under the balanceOf(address) method, the total number of NFTs in the given contract that the address owns is returned. An additional method, ownerOf(id), returns the address of the owner of a specific token, referenced by its ID. Another important difference is that ERC-20 allows for the partial approval of an operator's token balances, whereas